Industry Stability

Industry stability determines how quickly players in the industry gain and lose market share. This is an indicator of the relative competitiveness or strength of the company's products and services. Industry stability shows if winners remain winners for very long in the industry or do new players keep on coming into the industry.

Industry Stability

Volatile Industries

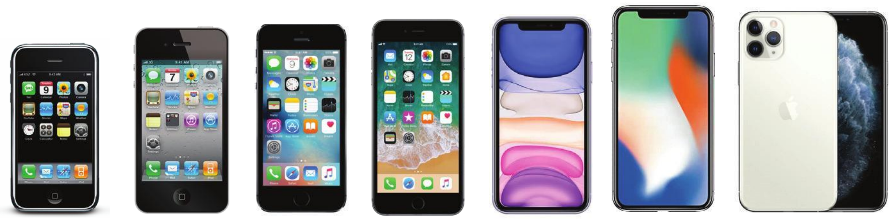
- Gain and lose market share quickly.
- Entry and scaling up can be relatively quicker and easier, but benefitting from gained market share and maintaining it over time can be very difficult.

Stable Industries

- Take time to gain and lose market share.
- Entry can take time and can be very difficult, but once the market share is gained, it can be maintained for a while and the firms can benefit from their position.

Many factors determine the stability of any industry. They are discussed in the following paragraphs.

Constant Product Innovation



Constant product innovation by companies in the industry leads to companies coming up with products that exceed the offerings of the previous best product in the market. This causes market share to shift towards the firm with the new offering. This will later shift to another firm that comes up with an even better offering. When this happens at a fast pace, it leads to instability in the industry, in terms of market share.